Letter No : 300/TCHQ-GSQL (Regarding the leasing and lending of machinery, equipment, and molds by EPEs to domestic enterprises)

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Main content :

The General Department of Customs provides guidance on customs procedures and tax policies for export processing enterprises to lease or borrow machinery, equipment and molds to domestic enterprises as follows:

1. In case an EPE leases or lends machinery, equipment and molds to a domestic enterprise to serve its export processing activities in accordance with the objectives stated in its Investment Registration Certificate or written certification of the EPE. competent investment registration agency (in case an investment registration certificate is not required):

1.1. About customs procedures.

EPEs carry out procedures for temporary export, domestic enterprises carry out procedures for temporary import; After the lease or loan contract is terminated, the domestic enterprise shall carry out re-export procedures, and the export processing enterprise shall carry out the procedures for re-importing the leased or borrowed goods.

1.2 About tax policy

a) About import tax

Domestic enterprises must declare and pay import tax when carrying out temporary import procedures and are not entitled to a refund of paid import tax when carrying out re-export procedures. Import tax calculation value for rented or borrowed goods shall comply with the provisions of Clause 9, Article 1 of Circular 60/2019/TT-BTC of the Ministry of Finance.

In case a domestic enterprise imports machinery and equipment as agreed in the processing contract to perform the processing contract, the domestic enterprise is exempt from import tax as prescribed at Point c, Clause 1, Article 10 of Decree No. Decree No. 134/2016/ND-CP dated September 1, 2016 of the Government

b) Regarding VAT

Domestic enterprises that hire or borrow to register customs declarations in the form of temporary import for re-export are not required to pay VAT because goods temporarily imported for re-export are not subject to VAT. In case the lease or loan term has expired but the domestic enterprise continues to use it and does not re-export, the domestic enterprise must carry out the procedures for changing the purpose of use and declare and pay VAT together with the import tax. import on the new customs declaration as prescribed in Clause 12, Article 1 of Decree No. 59/2018/ND-CP dated April 20, 2018 of the Government.

In the process of using leased or borrowed goods, which are damaged and cannot be re-exported, must be destroyed, and have been destroyed according to the provisions of law,

domestic enterprises are not required to declare and pay VAT for the goods. this rental or borrowed goods.

2. In case an EPE leases or lends machinery and equipment to a domestic enterprise to carry out other business activities, not to serve the export processing activities of the EPE:

EPEs must carry out procedures for changing the purpose of use, declare a new customs declaration, and fully pay tax for non-taxable goods before leasing or borrowing them.